

among them the calculation of the present value of estimated future cash flows; applying sensible multiples of relevant income-statement, balance-sheet, and cash flow metrics; assessing the private-market value of a company (i.e., the value a knowledgeable third party would reasonably pay for the business); and establishing the breakup value (i.e., the amount to be realized if the various segments of a business were sold separately to the highest bidders). Value cannot usually be captured in a single-point estimate, and an investor would be wise to consider all these methodologies to determine a plausible range of value.

Each of these methodologies has its strengths and weaknesses. Private-market value can fluctuate with the moods of the market and swings of the economy, and sometimes there are few if any private bids available for a given asset. Such transactions are also typically dependent on the availability and cost of financing. Applying multiples, on the other hand, has the benefit of relying on observable financial metrics. This approach may be more objective on the surface, but insisting on very low purchase multiples may inadvertently filter for lower quality or deteriorating businesses or fail to capture the value inherent in rapidly growing subsidies. While Graham considered corporate earnings, dividend payments, and book value to be the most important metrics in analyzing a stock, for example, most value investors today look past those factors to focus on the generation of free cash flow (i.e., the cash produced annually from the operations of a business after all capital expenditures are made and changes in working capital are considered). Investors turned to this approach because earnings reported under GAAP can differ materially from the cash actually generated by a business. For example, depreciation and amortization are noncash charges that alter the reported bottom line and mask actual cash generation. Contrariwise, some business activities gobble up cash but aren't expensed, such as accumulations of potentially obsolete inventories or uncollectable receivables.